

ECONOMY — Budget, Taxation & Fiscal System

Batch 3 of 10 · Sources: Parmar Ch.4 (Budget and Taxation) + Lucent §10 (Fiscal System) + §12 (Tax System/GST) · PYQ buckets "04 Indian Tax System" (15 Qs) + "05 Public Finance" (57 Qs) · ★ = tested in a real past SSC paper

1 Budget Basics

Budget = estimate of govt receipts & expenditure over a period, called the "**Annual Financial Statement**" ★ under **Article 112** ★ (the word "Budget" itself is NOT in the Constitution — a repeatedly tested trap). Presented by the **Finance Minister**; laid before Parliament for the **Financial Year, 1 April - 31 March** ★ (not calendar year, not Jan-Dec, not July-June). Since **2017**, presented on **1 February** (earlier: last working day of Feb) so the process completes before the new FY starts.

HOOK First Budget: **R.K. Shanmukham Chetty**; 2nd: John Mathai. Most budgets: **Morarji Desai (10, record)** > P. Chidambaram/Nirmala Sitharaman (9 each) > Pranab Mukherjee/Yashwant Sinha (8). **Indira Gandhi** = 1st female FM (temporary charge). Gender Budgeting: **2005-06**; Child Budgeting: **2008-09** ★.

HOOK Railway Budget: separated from General Budget in **1921** (Acworth Committee); **merged back in 2016** (Bibek Debroy Committee), effective **2017-18** ★ — ending a colonial practice since 1924. **Budget 2017-18** reforms ★: (1) presentation date advanced to 1 Feb, (2) Railway Budget merged with General Budget, (3) plan/non-plan expenditure classification abolished.

2 Budget's 3 Functions & Documents

Function	Meaning
Allocation ★	Divides resources between public/private goods — the budget's primary objective is to allocate limited public funds to sectors like education/health/defence ★
Redistribution	Reduces income inequality via progressive taxation + welfare programs
Stabilisation	Counters recession (↑ spending) or inflation (↓ spending)

HOOK Along with the Annual Financial Statement, the FRBM Act mandates **3 documents** ★: Medium-Term Fiscal Policy Statement, Fiscal Policy Strategy Statement ★, Macroeconomic Framework Statement — NOT a "Monetary Policy Statement" (that's RBI's own, independent document — a tested distractor ★). The **Finance Bill** ★ (Art. 110/117) proposes tax changes/rates, needs Parliament's approval; the **Appropriation Bill** ★ authorises withdrawal from the Consolidated Fund. Revenue-receipt estimates factor in the Finance Bill's tax proposals ★.

Demands for Grants (Art. 113) = expenditure estimates voted by Lok Sabha, presented with the AFS. **Gender Budget** parts ★ (from 2024-25): Part A = 100% women-specific, Part B = 30-99% pro-women, Part C = <30% allocation ★.

3 Revenue vs Capital (Receipts & Expenditure)

Revenue Receipts ★

Do NOT create liability or reduce assets; non-redeemable. E.g. tax revenue, PSU dividends ★, interest on loans ★ — income tax/GST/dividends are all revenue receipts ★ since they carry no repayment burden.

Revenue Expenditure ★

Neither creates assets nor reduces liability. E.g. **salaries, pensions, interest payments** ★ (largest non-plan component), subsidies, defence

Capital Receipts ★

EITHER create a liability OR reduce government assets. E.g. **loans/borrowings** (creates liability, incl. loan from RBI ★), **disinvestment/PSU-share sale** (reduces assets ★), recovery of loans, small savings.

Capital Expenditure ★

Creates assets or reduces liabilities. E.g. **machinery purchase** ★, infrastructure, loan repayment. A PYQ statement pair confirms: capital

expenditure (= "committed expenditure", little scope to cut ★). Grants given to states for asset creation are STILL Revenue Expenditure ★ (Centre's own assets/liabilities unaffected, even though the recipient creates an asset).

expenditure DOES create assets (Statement I "does not create assets" is FALSE) and machinery acquisition IS capital expenditure (Statement II TRUE) ★.

TRAP Sale of PSU shares/disinvestment ★ = **capital receipt** (reduces govt assets) — NOT a revenue receipt, and it does NOT create a liability itself, it reduces assets. Loan from RBI = capital receipt because it creates a **future liability** ★. **Capital Account** of the budget = records changes in govt's assets/liabilities (capital receipts + capital expenditure) ★.

4 Deficits — the full ladder

Deficit	Formula	Meaning
Revenue Deficit ★	Revenue Expenditure – Revenue Receipts ★	Only current-account transactions; also called " dis-saving " ★ — govt borrows for consumption, no asset created, future interest burden ↑. A concern because it signals borrowing for current spending, not productive investment ★
Fiscal Deficit ★	Total Expenditure – (Revenue Receipts + Non-debt Capital Receipts) ★, i.e. excluding borrowings	Total borrowing requirement of govt ★ — the key indicator of financial health; also called Budgetary/Budget Deficit ★ in some usages
Primary Deficit ★	Fiscal Deficit – Interest Payments (on <i>previous</i> loans) ★	Borrowing needed to meet current expenses, excluding past-debt interest ★ — the macro indicator that isolates new borrowing from legacy interest burden ★
Effective Revenue Deficit	Revenue Deficit – Grants for capital-asset creation	Refines Revenue Deficit by excluding grants that indirectly build assets

DOUBT Lucent's own text (raw extraction, §10) gives "Primary Deficit = Revenue Deficit – Interest Payments" — an internal misprint contradicting its own correct definition ("fiscal deficit minus interest payments") one sentence earlier; the PYQ book's tested answer uses **Fiscal Deficit – Interest Payments**, used here as correct.

HOOK Worked example ★: Total Revenue Receipts ₹50L cr, Total Expenditure ₹75L cr, Borrowings ₹20L cr → **Fiscal Deficit** = $75 - 50 = ₹25L$ cr ★ (borrowing of ₹20L cr covers only part of it — remainder from non-debt capital receipts).

Deficit Financing (concept by **J.M. Keynes** ★) = govt spends beyond revenue, gap filled by borrowing/printing money — objective: **stimulate economic growth** ★ (not reduce inflation, control black money, or shrink money supply — tested distractors). Continuous borrowing → **accumulation of debt / debt trap** ★ (new loans taken to repay old ones).

HOOK FRBM Act, 2003 ★: mandates fiscal deficit $\leq 3\%$ of GDP ★. Objective: fiscal discipline, reduce govt borrowing/fiscal deficit, ensure inter-generational equity ★ (NOT to regulate private investment, increase fiscal deficit, or promote foreign trade). **Escape clause** ★ allows exceeding the target only for national security/war/calamity/agricultural crisis ★ (not "just any" reason). Finance Minister's FRBM role ★ = presenting the fiscal-policy statements to Parliament. Gross fiscal deficit hit **~8.4% (~10%) of GDP by 1990-91** ★ — the crisis that triggered 1991 reforms. Revenue deficit must be cut by **0.5% of GDP per year** ★ under FRBM rules.

5 Fiscal & Monetary Policy, Crowding Effects

HOOK **Fiscal Policy** ★ = govt spending + taxation to influence aggregate demand/economic activity (Finance Ministry) — distinct from **Monetary Policy** (repo rate, money supply — controlled by RBI ★). Govt infrastructure spending = fiscal policy ★; repo-rate adjustment = monetary policy ★.

Keynesian prescription for recession ★: **increase spending, cut taxes** (expansionary fiscal policy) to stimulate aggregate demand via the multiplier effect ★ — NOT raise interest rates or reduce spending. Expansionary fiscal policy is NOT characterised by a *decrease* in govt spending ★ (that's contractionary).

Crowding Out ★ = heavy govt borrowing → interest rates ↑ → private investment ↓ (credit becomes expensive). **Crowding In** = govt infra spending stimulates private investment (opposite effect). **Post-1991 fiscal reforms** linked state loans to fiscal-discipline performance — states had to adhere to fiscal targets ★.

6 Direct & Indirect Taxes

Direct Tax ★	Indirect Tax ★
Paid directly by the person/entity taxed; burden cannot be shifted; progressive ★ in nature (marginal rate > average rate). E.g. Income Tax, Corporate Tax, Wealth Tax, Gift Tax, Estate Duty. Administered by CBDT ★.	Burden shifts to the final consumer; regressive ★ in nature (poor & rich pay the same tax on the same commodity — tax doesn't vary with income ★). E.g. GST, Customs Duty, Excise Duty.

TRAP **"Paper Taxes"** ★ = Wealth Tax, Gift Tax, Estate Duty — widely evaded, negligible revenue, "significance only on paper." **Corporate Tax** is a **DIRECT** tax ★ (levied on company profits) — a repeatedly tested distractor against GST/Excise/Customs (all indirect). GST replaced VAT/Service Tax/Excise ★ (implemented **1 July 2017**).

HOOK Progressive taxation ★ = tax rate *rises* with income (most countries, incl. India's Income Tax — social-justice rationale, wealthy pay more). Regressive = rate falls as income rises (burdens poor more). Proportional = flat rate for all. GST's main objective ★: **uniform tax across states** ("One Nation, One Tax") — not a new direct tax, not to target luxury goods specifically.

Committee	Year	Remit
Raja J. Chelliah ★	1991	"Father of Indian Tax Reforms" ★ — Tax Reforms Committee; rationalised direct/indirect tax rates, broadened tax base, reduced customs duties
Vijay Kelkar ★	2002-03 ★	Task Force on fiscal reforms (direct & indirect taxes) — simplified tax administration, broadened tax base, paved way for FRBM Act & GST roadmap ★
K.L. Rekhi	1992	Uniform indirect-taxation regulations (Customs/Excise)

HOOK **CENVAT** ★ (Central Value Added Tax, PYQ-book-only — not in Parmar/Lucent, see A.2) — excise duty rationalised to a single **16%** rate ★ via the 2000-01/2001-02 Union Budgets, to cut the cascading tax-on-tax effect and prep for GST. **Cascading Tax** = tax on already-taxed value. **Surcharge** and **Cess** ★ = levied by Centre, NOT shared with states. **Pigouvian Tax** = tax on negative-externality activities. **Laffer Curve** = bell-shaped tax-rate vs revenue graph — beyond a point, higher tax rates reduce revenue.

7 GST

Introduced via the **101st Constitutional Amendment Act** ★ (assent 8 Sept 2016), effective **1 July 2017**. **GST Council** (Art. 279A) = constitutional body, 33 members (2 Centre + 31 States/UTs), chaired by the **Finance Minister**. GST proposal first mooted 2006-07; GST Council constituted 2016.

8 Finance Commission

Constitutional body, Article 280, constituted by the **President every 5 years** to recommend Centre-State tax-revenue distribution. 1st FC chairman: **K.C. Neogi**. **16th FC** constituted **31 Dec 2023**, chairman **Arvind Panagariya**, period 2026-31; recommends Vertical Devolution (states' collective share,

retained at **41%**) and Horizontal Devolution (Income Distance 42.5%, Population 17.5%, Area 10%, Forest & Ecology 10%, Demographic Performance 10%, GDP contribution 10% — new in 16th FC).

9 Public Debt & Ways and Means Advances

WMA, 1997 = RBI mechanism for temporary Centre cash-flow mismatches (not a permanent finance source). Public debt = **Internal** (market loans, treasury bills, RBI securities) + **External** (World Bank, IMF, ADB, foreign govts). **Operation Twist** = RBI buys long-term govt securities + sells short-term ones, to lower long-term interest rates.

Appendix

A.1 — PYQ citation index (buckets "04 Indian Tax System" 15 Qs + "05 Public Finance" 57 Qs)

Fact tested	Exam · Date · Shift
Chairman, Tax Reforms Committee 1991 = Raja J. Chelliah	SSC CHSL Tier-I, 25/11/2025 (Sh-01)
Progressive taxation used for income tax	SSC Phase XIII, 29/07/2025 (Sh-02)
Direct tax collected by govt = Income Tax	SSC Phase XIII, 02/08/2025 (Sh-01)
Direct taxes collected from individuals/companies	SSC Phase XIII, 01/08/2025 (Sh-01)
Corporate Income Tax = direct tax example	SSC Phase XIII, 31/07/2025 (Sh-02)
Wealth tax/gift tax/estate duty = "paper taxes"	SSC CHSL Tier-I, 30/11/2025 (Sh-02)
GST = example of indirect tax	SSC Phase XIII, 29/08/2025 (Sh-03)
GST Act's primary purpose = uniform tax	SSC Phase XIII, 24/07/2025 (Sh-02)
Kelkar committee 2002-03, fiscal reforms chair	SSC CHSL Tier-I, 29/11/2025 (Sh-01); 25/11/2025 (Sh-02)
Entertainment/Entry tax subsumed into GST (ex-State taxes)	SSC CHSL Tier-I, 25/11/2025 (Sh-03)
GST amalgamated central+state taxes/cesses	SSC CHSL Tier-I, 21/11/2025 (Sh-03)
Customs duty on imports/exports	SSC CHSL Tier-I, 13/11/2025 (Sh-02)
CENVAT single rate 16% (2001-02)	SSC CHSL Tier-I, 12/11/2025 (Sh-03)
Indirect taxes regressive (price-based, not income-based)	SSC CPO Tier-I, 11/12/2025 (Sh-01)
Excise Duty = indirect tax	SSC CPO Tier-I, 11/12/2025 (Sh-02)
Sale of PSU shares = capital receipt, reduces assets	SSC CHSL Tier-I, 12/11/2025 (Sh-03)
Disinvestment proceeds = capital receipt	SSC CPO Tier-I, 10/12/2025 (Sh-02)
Budget's main objective = allocate public funds	SSC Phase XIII, 01/08/2025 (Sh-03)
Annual Financial Statement (not "Budget" in Constitution)	SSC Phase XIII, 30/07/2025 (Sh-01)
Fiscal deficit worked example ($₹75L - 50L = 25L$ cr)	SSC Phase XIII, 31/07/2025 (Sh-02)
Budgetary Deficit = another term for Fiscal Deficit	SSC Phase XIII, 30/07/2025 (Sh-02)
Revenue expenditure = normal govt-department functioning	SSC CHSL Tier-I, 30/11/2025 (Sh-02)
Gender Budget Parts A/B/C (<30% = Part C)	SSC CPO Tier-I, 09/12/2025 (Sh-01)
Capital expenditure creates assets (statements)	SSC CHSL Tier-I, 25/11/2025 (Sh-01)
Salaries/pensions/defence = revenue expenditure	SSC CHSL Tier-I, 22/11/2025 (Sh-01)
Subsidy=welfare instrument; defence=committed exp. (A-R)	SSC CHSL Tier-I, 21/11/2025 (Sh-01)
Revenue-receipt estimates reflect Finance Bill's tax proposals	SSC CHSL Tier-I, 20/11/2025 (Sh-01)
Traditional view: tax cuts + budget deficit → consumer spending ↑	SSC CHSL Tier-I, 19/11/2025 (Sh-02)
Interest payment on debt = revenue expenditure	SSC CHSL Tier-I, 18/11/2025 (Sh-01)
Child Budgeting introduced 2008-09	SSC CHSL Tier-I, 13/11/2025 (Sh-03)
Fiscal deficit = only current-transactions deficit? (NO, that's revenue deficit)	SSC CHSL Tier-I, 13/11/2025 (Sh-03)
Capital account = govt assets/liabilities changes	SSC CPO Tier-I, 11/12/2025 (Sh-02)

Budget deficit statements (expenditure>revenue / revenue>expenditure)	SSC CPO Tier-I, 11/12/2025 (Sh-02)
Finance Bill contents = tax proposals (Art.117)	SSC CPO Tier-I, 10/12/2025 (Sh-02)
Traditional/Kelkar-era belief re: tax cuts+deficit	SSC CHSL Tier-I, 19/11/2025 (Sh-02)
2030 urbanisation >40% (Economic Survey 2023-24)	SSC CHSL Tier-I, 19/11/2025 (Sh-01)
Revenue account = Revenue Budget (alt. name)	SSC CGL Tier-I, 21/09/2025 (Sh-02)
Capital receipt example (loan from RBI)	SSC CGL Tier-I, 22/09/2025 (Sh-03)
Revenue deficit = dis-saving, concern for economy	SSC CGL Tier-I, 23/09/2025 (Sh-02); 20/09/2025 (Sh-03: formula)
Grants for asset creation still = revenue expenditure	SSC CGL Tier-I, 23/09/2025 (Sh-03)
Capital receipts best definition	SSC CGL Tier-I, 24/09/2025 (Sh-02)
Revenue receipts don't carry repayment burden (A-R)	SSC CGL Tier-I, 25/09/2025 (Sh-01)
Income tax/PSU dividends = revenue receipts; disinvestment = capital (statements)	SSC CGL Tier-I, 26/09/2025 (Sh-02)
FRBM enacted 2003	SSC CHSL Tier-I, 29/11/2025 (Sh-03)
FRBM escape clause grounds (natl security/calamity)	SSC CHSL Tier-I, 18/11/2025 (Sh-02)
FRBM fiscal deficit target = 3% of GDP	SSC CHSL Tier-I, 22/11/2025 (Sh-01)
FRBM revenue-deficit cut = 0.5% of GDP/yr	SSC CHSL Tier-I, 20/11/2025 (Sh-01)
3 FRBM documents with budget	SSC CHSL Tier-I, 19/11/2025 (Sh-01)
Monetary Policy Statement NOT an FRBM document	SSC CHSL Tier-I, 15/11/2025 (Sh-01)
Keynes: govt expenditure expansion in recession	SSC Stenographer, 08/08/2025 (Sh-01)
Crowding Out effect	SSC Phase XIII, 29/08/2025 (Sh-03)
Keynesian recession policy = ↑ spending, ↓ taxes	SSC Stenographer, 06/08/2025 (Sh-03)
Post-1991 fiscal discipline: states tied to fiscal targets	SSC Stenographer, 08/08/2025 (Sh-03)
FRBM purpose = reduce borrowing/fiscal deficit	SSC Stenographer, 08/08/2025 (Sh-01)
FM's FRBM role = present fiscal statements	SSC Stenographer, 07/08/2025 (Sh-02)
Fiscal policy = aggregate demand via spending/taxation	SSC Stenographer, 07/08/2025 (Sh-01)
PSU disinvestment reduces financial assets	SSC CPO Tier-I, 10/12/2025 (Sh-01)
FRBM aim re: fiscal deficit + public debt	SSC Phase XIII, 01/08/2025 (Sh-02)
Term for expenditure>revenue = Deficit	SSC Phase XIII, 31/07/2025 (Sh-01)
Deficit financing objective = stimulate growth	SSC Phase XIII, 25/07/2025 (Sh-02)
NOT a cause of fiscal deficit = BoP surplus	SSC Phase XIII, 25/07/2025 (Sh-02)
Money received from loans/asset sale (statements)	SSC CHSL Tier-I, 30/11/2025 (Sh-03)
Fiscal deficit as % of GDP by 1990-91 (~8.4-10%)	SSC CHSL Tier-I, 28/11/2025 (Sh-02)
Kelkar committee year (2002-03)	SSC CHSL Tier-I, 25/11/2025 (Sh-02)
Continuous borrowing → debt accumulation	SSC CHSL Tier-I, 24/11/2025 (Sh-01)
Excl. borrowings, expenditure>receipts = fiscal deficit	SSC CPO Tier-I, 12/12/2025 (Sh-02)
Interest on govt loan = revenue expenditure example	SSC CPO Tier-I, 09/12/2025 (Sh-02)
Revenue deficit = Rev.Exp – Rev.Receipts	SSC CGL Tier-I, 20/09/2025 (Sh-03)
Expansionary fiscal policy NOT = ↓ govt spending	SSC CGL Tier-I, 26/09/2025 (Sh-01)
Union Budget presented for FY (April-March)	SSC CPO Tier-I, 09/12/2025 (Sh-01)
Primary deficit macro indicator (excl. interest)	SSC CGL Tier-II, 18/01/2026

A.2 — PYQ-book-only facts

2030 urbanisation >40% (Economic Survey 2023-24 citation) and the **CENVAT**/2001-02 single-16%-rate excise reform — neither is in Parmar's Ch.4 or Lucent's §10/§12 raw extraction; both sourced transparently to the PYQ book's own explanation text.

A.3 — Doubts carried forward

Primary Deficit formula misprint in Lucent (Revenue Deficit – Interest, contradicting its own correct statement); Budget-year figures (fiscal deficit 4.4%/4.8%, debt-to-GDP 50±1% by 2030) are dated to Budget 2025-26/2026-27 and will be superseded — not independently verified.

A.4 — Deliberately condensed

Lucent's full "Rupee comes from/goes to" doughnut-chart percentages, the complete Budget 2025-26 line-item list (36 lifesaving drugs, BCD changes on frozen fish paste etc.), the "Some Financial Institutions" establishment-year table (cross-referenced to Batch 5/9 instead), and the Central Govt Schemes-since-2016 table (cross-referenced to Batch 4's schemes coverage) — none tested by a located PYQ in this bucket at the line-item level.